

Interim Financial Report

Period Ended 31 December 2025



**ALPHA FIRE
SERVICES PLC**



CORPORATE INFORMATION

Alpha Fire Services PLC is a public limited liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The principal activities of the Company include the design, supply, installation, and maintenance of fire detection and fire protection systems.

Board of Directors

Chairman	Mr. Asantha Menaka Athukorala
Managing Director	Mr. Viraj Fernando
Director - Executive	Mr. Duminda Weerasekare
Director - Non Executive	Mr. Ravi Goonetilleke
Director - Non Executive	Mr. Jerome Wijesinghe
Director - Non Executive	Mr. Ravindu Kalamulla

Auditors

KMPG
Chartered Accountants

32A, Mohamed Macan Marker Mawatha, P.O.Box 186, Colombo 03

Bankers

Hatton National Bank	- Main Branch
Seylan Bank	- Wellawatta Branch
DFCC Bank	- Nugegoda Branch
Commercial Bank	- Bambalapitiya Branch
People's Bank	- Nugegoda Branch

Contact Details

Registered Office
No. 100/1, 8th Floor, Elvitigala Mawatha, Colombo 08.
info@alphafire.lk



ALPHA FIRE SERVICES PLC

STATEMENT OF COMPREHENSIVE INCOME

For the period ended 31 December,

	2025 Three Months Ended Oct to Dec Rs.	2024 Three Months Ended Oct to Dec Rs.	Change %	2025 Nine Months Ended April to Dec Rs.	2024 Nine Months Ended April to Dec Rs.	Change %
Revenue	140,394,877	109,471,737	28%	394,559,813	304,206,293	30%
Cost of sales	(84,382,799)	(64,858,666)	30%	(225,895,216)	(173,430,791)	30%
Gross profit	56,012,078	44,613,071	26%	168,664,598	130,775,502	29%
Administrative expenses	(24,754,897)	(16,913,615)	46%	(66,509,206)	(51,191,233)	30%
Selling and distribution expenses	(11,741,467)	(8,793,311)	34%	(28,690,964)	(26,970,780)	6%
Profit from operations	19,515,715	18,906,145	3%	73,464,428	52,604,489	40%
Interest income	699,822	1,448,278	-52%	2,113,559	3,575,595	-41%
Finance expenses	(1,723,531)	(4,390,884)	-61%	(8,152,914)	(11,186,438)	-27%
Net finance expenses	(1,023,709)	(2,942,606)	-65%	(6,039,355)	(7,610,843)	-21%
Profit before taxation	18,492,006	15,963,539	16%	67,425,072	44,993,646	50%
Income tax expenses	(4,299,138)	(5,815,358)	-26%	(21,218,054)	(14,030,878)	51%
Profit after taxation	14,192,868	10,148,181	40%	46,207,018	30,962,766	49%
Other comprehensive income for the year	-	-		-	-	
Total comprehensive income	14,192,868	10,148,181	40%	46,207,018	30,962,766	49%
Earning per share (Rs.)	0.37	0.27		1.22	0.82	

ALPHA FIRE SERVICES PLC

STATEMENT OF FINANCIAL POSITION

<i>As at 31st,</i>	Dec 2025	March 2025
Assets	<u>Rs.</u>	<u>Rs.</u>
	<u>Un Audited</u>	<u>Audited</u>
Non-current assets		
Property, plant & equipment	75,993,342	78,084,584
Term deposits	34,021,856	32,363,396
Total non-current assets	<u>110,015,198</u>	<u>110,447,980</u>
Current assets		
Inventories	145,719,901	172,478,167
Trade and other receivables	55,973,433	78,541,069
Cash margin account	855,226	4,073,411
Cash and cash equivalents	39,803,459	20,319,152
Total current assets	<u>242,352,018</u>	<u>275,411,798</u>
Total assets	<u>352,367,216</u>	<u>385,859,780</u>
Equity and liabilities		
Equity		
Stated capital	76,429,460	76,429,460
Revaluation reserve	23,880,760	23,880,760
Retained earnings	125,271,093	78,678,981
Total equity	<u>225,581,313</u>	<u>178,989,201</u>
Non-current liabilities		
Retirement benefits obligation	5,979,921	5,964,740
Bank borrowings	6,166,639	6,333,326
Deferred tax liabilities	5,334,492	5,334,492
Total non-current liabilities	<u>17,481,052</u>	<u>17,632,558</u>
Current Liabilities		
Bank borrowings	1,000,002	3,833,321
Amount due to related parties	3,412,758	3,153,414
Short term bank borrowings	58,760,708	68,401,094
Trade and other payables	10,612,601	73,134,835
Income tax payable	15,946,124	19,602,715
Bank overdrafts	19,572,658	21,112,639
Total current liabilities	<u>109,304,850</u>	<u>189,238,018</u>
Total liabilities	<u>126,785,902</u>	<u>206,870,576</u>
Total equity and liabilities	<u>352,367,216</u>	<u>385,859,778</u>

The financial statements are to be read in conjunction with the related notes, which form an integral part of these financial statements of the Company.

I certify that the above Financial Statements comply with the requirements of the Companies Act No. 7 of 2007.



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Finance Manager

The Board of Directors is responsible for the preparation and presentation of these financial statements in accordance with SLFRS for SMEs.

Approved and signed on behalf of the Board of Directors:



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Director

10 February 2026



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Director

ALPHA FIRE SERVICES PLC
STATEMENT OF CHANGES IN EQUITY

For the year ended 31 December 2025

	Stated capital	Revaluation reserve	Retained earnings	Total
	<u>Rs.</u>	<u>Rs.</u>	<u>Rs.</u>	<u>Rs.</u>
Balance as at 01 April 2024	76,429,460	23,880,760	45,073,288	145,383,508
Profit for the year	-	-	30,962,766	30,962,766
Other comprehensive income for the period	-	-	-	-
Dividend Distribution	-	-	(5,692,500)	(5,692,500)
Balance as at 31 December 2024	76,429,460	23,880,760	70,343,554	170,653,774
Balance as at 01 April 2025	76,429,460	23,880,760	146,897,130	247,207,350
Profit for the year	-	-	46,207,018	46,207,018
Other comprehensive income for the period	-	-	-	-
Dividend Distribution	-	-	-	-
Balance as at 31 December 2025	76,429,460	23,880,760	193,104,147	293,414,367

ALPHA FIRE SERVICES PLC
STATEMENT OF CASH FLOWS

<i>For the period ended 31 December,</i>	2025	2024
	<u>Rs.</u>	<u>Rs.</u>
Cash flows from operating activities		
Profit before taxation	67,425,072	44,993,646
Adjustments for:		
Depreciation of property plant and equipment	3,588,066	3,230,724
Provision for retirement benefit obligation	1,093,181	1,161,161
Provision for slow moving inventory	-	-
Interest income	(2,113,559)	(3,575,595)
Loan interest	6,282,073	11,186,438
Lease interest	-	-
Operating profit before changes in working capital	76,274,834	56,996,374
Changes in working capital		
(Increase)/decrease in inventories	26,758,266	(53,318,761)
(Increase)/decrease in trade and other receivables	22,567,636	27,349,071
Increase/ (decrease) in amount due to related parties	259,343	(360,000)
Increase/ (decrease) in trade and other payables	(62,522,235)	34,471,393
Cash generated / (used in) from operations	63,337,845	65,138,077
Income tax paid	(24,874,660)	(12,178,768)
Gratuity paid	(1,078,000)	(162,000)
Net cash flow generated / (used in) from operating activities	37,385,185	52,797,309
Cash flows from investing activities		
Acquisition of property, plant and equipment	(1,496,824)	(9,356,808)
Interest income	1,658,459	593,912
Investment in Cash Buildups	(1,077,597)	-
Investment in cash margin	3,218,186	6,026,908
Withdrawal of fixed deposits	-	-
Net cash flow used in investing activities	2,302,224	(2,735,988)
Cash flows from financing activities		
Share issued - rights issue	-	-
Dividend paid	-	(5,692,500)
Long term loan received	-	10,000,000
Long term loan paid	(3,000,006)	(11,257,793)
Short term loan (paid) / received	(9,640,386)	19,627,863
Loan interest paid	(6,282,073)	(11,186,438)
Lease rental paid	-	-
Loan (settled)/obtained from related parties	259,343	-
Net cash flow generated / (used in) from financing activities	(18,663,122)	1,491,132
Net changes in cash and cash equivalents during the year	21,024,287	51,552,453
Cash and cash equivalents at beginning of the year	(793,487)	(19,692,633)
Cash and cash equivalents at end of the year	20,230,801	31,859,820

ALPHA FIRE SERVICES PLC
NOTES TO THE FINANCIAL STATEMENTS

For the three months ended 31 December 2025

1 Basis of Preparation

The interim Financial Statements have been prepared in accordance with Sri Lanka Accounting Standard for Small and Medium-sized Entities ("SLFRS for SMEs") and the same accounting policies and methods set out in the Audited Financials Statements for the year ended 31st March 2025 and are in compliance with LKAS 34 – Interim Financial Reporting. The presentation and classification of comparative information have been amended where relevant. The interim financial statements are not audited.

2 Significant Accounting Policies

The accounting policies and methods of computation applied in the preparation of these interim financial statements are consistent with those followed in the audited financial statements for the year ended 31 March 2025.

3 Contingencies

The Company does not have any other significant contingent liabilities outstanding as at the reporting date which require adjustments to or disclosure in the financial statements.

4 Events occurring after the reporting date

There were no material events occurring after the reporting date which require adjustments to or disclosures in the financial statements.

5 Rights Issue

The Company has raised the fund Rs.50.8 Mn by rights issue for the said objectives of the circular. The status of the utilization of the fund for the objectives is listed below.

Objective as per circular	Amount Allocated by Circular	% Total Proceeds	Amount Utilized	% Utilized
Working Capital Requirement	Rs.40.8 Mn	80.3%	Rs.40.8 Mn	100%
Repayment of Debts	Rs.10 Mn	19.7%	Rs.10 Mn	100%

6 Subdivision of Shares

Shareholders of the Company at its Extraordinary General Meeting held on 16 January 2024 has approved that the number of ordinary shares of the Company in issue be increased by way of a sub-division of shares where by one (01) ordinary share was subdivided in to five (5) ordinary shares. The resulting number of shares after the sub-division is 37,950,000. There was no change to the stated capital of the Company subsequent to the said sub-division of shares. The company has concluded the sub-division on 26 January 2024.

7 Capital Expenditure

The Company has incurred Rs. 711,700 for capital expenditure for the reporting period and accumulated period total expenditure is about Rs. 1.49 Million.

8 Earning per share

Earnings per share is calculated by dividing the profit attributable to the equity holders by number of ordinary shares in issue during the reporting period.

	31 December 2025	31 December 2024
Net profit attributable to equity holders (Rs.)	14,192,868	10,148,181
Number of shares in issue	37,950,000	37,950,000
Earnings Per Share (Rs.)	0.37	0.27

9 Net Assets per share

Net Assets per share is calculated by dividing the total equity by number of ordinary shares in issue during the reporting period.

	31 December 2025	31 March 2025
Total Equity	293,414,367	247,207,350
Number of shares in issue	37,950,000	37,950,000
Net Assets Per Share (Rs.)	7.73	6.51

10 Inventories

Materials	84,717,048	73,349,480
Work-in Progress	61,002,852	99,128,687
	145,719,901	172,478,167

ALPHA FIRE SERVICES PLC
NOTES TO THE FINANCIAL STATEMENTS
For the three months ended 31 December 2025

11 Management Fee

Management fees amounting to Rs. 2.4 million were paid to Executive Directors during the quarter ended 31 December 2025. These fees were paid for executive management services included in key management personnel compensation.

12 Directors' Fee

Directors' remuneration for the quarter and nine months ended 31 December 2025 amounted to Rs. 240,000 and Rs. 660,000 respectively

13 Transactions with Related parties

Name of Related Parties and the Relationship	Transaction	Transaction during the Period	
		31 December 2025	31 December 2024
Common Directors / KMP			
Icon Engineering Pvt Ltd	Office & Admin Services	389,503	-
Ceylon Exchange Monitoring Pvt Ltd	Social Media and Promotion	97,000	-
ACP Investment (Pvt) Ltd	New Building Construction	2,000,000	-
ACP Investment (Pvt) Ltd	Office Rent	2,400,000	-

14 Seasonality of Operations

The Company's operations are not subject to significant seasonal or cyclical fluctuations. Revenue is primarily driven by project execution schedules and customer billing milestones.

15 Unusual or Material Items

There were no unusual or material items affecting the financial performance of the Company during the quarter ended 31 December 2025.

16 Changes in Estimates

There were no material changes in accounting estimates, including provisions for expected credit losses, contract cost estimates, or other provisions during the reporting period.

17 Changes in Equity Instruments

There were no issuances, repurchases, or repayments of equity or debt securities during the quarter ended 31 December 2025.

18 Dividends

No dividends were declared or paid during the quarter ended 31 December 2025.

19 Segment Information

The Company operates in three primary revenue categories:

	December 2025	December 2024
Projects	114,030,713	92,239,091.60
Services	22,136,783	14,665,392.03
Supply	4,227,381	2,567,253.37
	140,394,877	109,471,737.00

Management monitors performance on an aggregated basis, and segment profit or loss information is not separately reported. Accordingly, only revenue information by category is disclosed.

ALPHA FIRE SERVICES PLC
NOTES TO THE FINANCIAL STATEMENTS
For the three months ended 31 December 2025

20 Taxation

The Company is fully compliant with tax filing requirements up to 31 December 2025. No material tax liabilities are outstanding as at the reporting date. Income tax expense has been recognized based on management's best estimate of the effective tax rate for the financial year.

21 Going Concern

The Board of Directors has assessed the Company's ability to continue as a going concern and is satisfied that the Company has adequate resources to continue operations for the foreseeable future. Accordingly, these interim financial statements have been prepared on a going concern basis.

22 Comparative Information

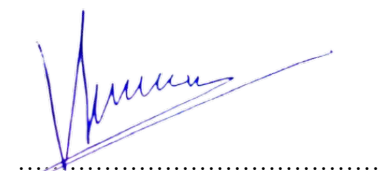
Comparative information for the previous period has been presented for all financial statements. There were no material reclassifications or restatements of comparative figures.

23 Directors' Responsibility Statement

The Directors are responsible for the preparation and fair presentation of these interim financial statements in accordance with Sri Lanka Accounting Standards and the requirements of the Colombo Stock Exchange. The Directors confirm that the interim financial statements give a true and fair view of the financial position and performance of the Company as at and for the period ended 31 December 2025.

The interim financial statements were approved by the Board of Directors on 10th February 2026

For and on behalf of the Board


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Director
.....
Director

Date: 10 February 2026

ALPHA FIRE SERVICES PLC
SHAREHOLDERS INFORMATION

The issued ordinary shares of the Company is 37,950,000

Largest 20 Shareholders as at 31 December 2025

#	Name	No of Shares	%
1	SEYLAN BANK PLC/ARCASIA INVESTMENTS & TRADING (PVT) LTD	10,179,913	26.82%
2	DFCC BANK PLC/ATX PARTNERS PVT LTD	9,492,610	25.01%
3	JBH HOLDINGS	3,149,850	8.30%
4	MR. D.A. RYDE	1,690,500	4.45%
5	MR. F.A. RYDE	1,690,500	4.45%
6	ASSETLINE FINANCE LIMITED/C.DISSANAYAKE	1,200,000	3.16%
7	MR. J.R. VICTORIA	798,734	2.10%
8	SEYLAN BANK PLC/GLADSTONE CAPITAL (PRIVATE) LIMITED	734,611	1.94%
9	COMMERCIAL BANK OF CEYLON PLC/H.S. DISSANAYAKE	505,000	1.33%
10	MR. B.T. DE S WEERASOORIA	473,312	1.25%
11	MRS. M.P.R. SILVA	315,295	0.83%
12	MR. S. GURUSINGHE	235,158	0.62%
13	MR. A.N.K. LIYANAGE	228,000	0.60%
14	MR. M.C. FERNANDO	217,782	0.57%
15	HATTON NATIONAL BANK PLC/ RANIL NILHAN DE SARAM	200,000	0.53%
16	SEYLAN BANK PLC/HOTEL INTERNATIONAL (PVT) LTD	200,000	0.53%
17	ULTRAKLEEN PRIVATE LIMITED	199,231	0.52%
18	PMF FINANCE PLC/M.S.HAMZADEEN	180,001	0.47%
19	MRS. W.G.C. DILRUKSHI	180,000	0.47%
20	MR. R.W.D.M.T.K. DISSANAYAKA	160,271	0.42%
	Others	5,919,232	15.60%
	Total	37,950,000	100.00%

Public Holding

Public Holding - No of Shares	15,127,627
Public Holding as a % of Total Issued Shares	39.86%
Total No. of Shareholders as at 31 December 2025	875

Directors' Shareholding

	No of Shares
Mr. Kurukulasooriya Mark Anthony Viraj Fernando	10,000
Mr. Jerome Anthony Rayner Wijeyesinghe	Nil
Mr. Athukorala Udumulla Asantha Menaka Athukorala	Nil
Mr. Duminda Mahali Weerasekara	Nil
Mr. Mestiyage Don Janaka Ravi Goonethileke	Nil
Mr. Thira Ravindu Gajavikum Kalamulla	Nil

Share Price

	31 December 2025
Highest Price	30.90
Lowest Price	21.10
Last Traded Price	26.50